

Telecom Customer Segmentation & Package Recommendation System

Complete Source Code

EDA • Feature Engineering • K-Means / DBSCAN Segmentation • KNN Recommender • Churn
Prediction (KNN / RF / XGBoost) • SHAP Explainability

12 files

Contents

1. README.md
2. requirements.txt
3. src/config.py
4. src/utils.py
5. src/phase1_eda.py
6. src/phase2_features.py
7. src/phase3_segmentation.py
8. src/phase4_recommendation.py
9. src/phase5_churn.py
10. src/phase6_explainability.py
11. src/run_all.py
12. make_code_pdf.py

README.md

```
1 | # Telecom Customer Segmentation & Package Recommendation System
2 |
3 | End-to-end data-science project on the **Orange / BigML Telecom Churn** dataset
4 | (3,333 subscribers, provided as an 80/20 split). It combines **EDA, feature
5 | engineering, unsupervised segmentation, a KNN recommendation engine, churn
6 | classification, and explainable AI (SHAP)** into a single reproducible pipeline.
7 |
8 | > Why this is stronger than a standard churn project: it pairs **classification**
9 | > with **clustering**, a **recommendation system**, telecom **domain features**,
10 | > **explainable AI**, and a **Power BI-ready** scored dataset.
11 |
12 | ---
13 |
14 | ## Dataset
15 |
16 | Orange Telecom Churn dataset (Kaggle / BigML). Key fields: account length,
17 | day/evening/night/international minutes·calls·charges, voicemail & international
18 | plan flags, customer-service calls, and the `Churn` target.
19 |
20 | | File | Rows | Role |
21 | |-----|-----|-----|
22 | | `churn-bigml-80.csv` | 2,666 | training split |
23 | | `churn-bigml-20.csv` | 667 | holdout test split |
24 |
25 | Overall churn rate: **14.5%** (imbalanced).
26 |
27 | ---
28 |
29 | ## Quick start
30 |
31 | ```bash
32 | pip install -r requirements.txt
33 | python src/run_all.py          # runs Phase 1 -> 7, ~30s
34 | ```
35 |
36 | Run a single phase, e.g.:
37 |
38 | ```bash
39 | python src/phase3_segmentation.py
40 | ```
41 |
42 | All artifacts are written under `outputs/` (`figures/`, `data/`, `models/`, `reports/`).
43 |
44 | ---
45 |
46 | ## Pipeline
47 |
48 | ### Phase 1 – EDA (`phase1_eda.py`)
49 | Churn / day-minutes / international / charges / service-call distributions,
50 | correlation heatmap, and churned-vs-retained boxplots.
51 |
52 | **Key findings**
53 | - Heavy users (top 10% by minutes) churn **47%** vs 14.5% overall.
54 | - Top payers (top 10% by charges) churn **63%** – high-value customers are the most at-risk.
55 | - Customers with  $\geq 4$  service calls churn **52%**.
56 | - International-plan holders churn **42%** vs 11.5% without.
57 |
58 | ### Phase 2 – Feature Engineering (`phase2_features.py`)
59 | `Total Usage Minutes`, `Total Charges`, `International Usage Ratio`,
60 | `Customer Value Score` (0-100 weighted blend of spend, tenure, engagement),
61 | plus `Revenue Segment` (Low/Med/High) and `Usage Segment` (Light/Med/Heavy) tertiles.
62 |
63 | ### Phase 3 – Customer Segmentation (`phase3_segmentation.py`)
64 | K-Means (k chosen for business granularity; silhouette + elbow plotted) with a
65 | DBSCAN comparison. Clusters are mapped to **5 business segments** via a greedy,
66 | distinctiveness-based labeller:
67 |
68 | | Segment | Customers | Churn | Avg charges | Profile |
69 | |-----|-----|-----|-----|-----|
70 | | **High Risk Users** | 728 | **32%** | $72.80 | high-spend, high-churn → retention priority |
71 | | **Premium Users** | 836 | 9% | $60.10 | high value, stable |
72 | | **Voice Heavy Users** | 509 | 10% | $60.27 | heavy voicemail usage |
73 | | **International Users** | 568 | 13% | $44.97 | high intl-usage ratio |
74 | | **Low Revenue Users** | 692 | 7% | $55.91 | low value, low churn |
75 |
76 | ### Phase 4 – KNN Recommendation Engine (`phase4_recommendation.py`)
77 | A rule-based catalogue (Basic Saver, Day Talker Pro, Evening & Night Saver,
```

```

78 | Global Connect, Voicemail Plus, Premium Unlimited) assigns each customer a
79 | *current* package. `NearestNeighbors` then finds each subscriber's **5 most
80 | similar customers** (usage, charges, intl calls, account length, service calls)
81 | and recommends the dominant neighbour package:
82 |
83 | > "Customers similar to you are using Package X."
84 |
85 | **~40% of subscribers** are flagged with a cross-sell / upsell opportunity.
86 |
87 | ### Phase 5 – Churn Prediction (`phase5_churn.py`)
88 | Three models – **KNN, Random Forest, XGBoost** – each in an imbalanced-learn
89 | pipeline with **SMOTE**, tuned with **GridSearchCV** over **Stratified 5-Fold**
90 | CV, evaluated on the holdout split.
91 |
92 | | Model | CV ROC-AUC | Test ROC-AUC | Test F1 |
93 | |-----|-----|-----|-----|
94 | | KNN | 0.880 | 0.904 | 0.560 |
95 | | Random Forest | 0.915 | 0.920 | 0.876 |
96 | | **XGBoost** | **0.925** | **0.924** | 0.843 |
97 |
98 | Best model (XGBoost) on the holdout: **churn recall 0.87**, precision 0.81,
99 | overall accuracy 0.95. Saved to `outputs/models/best_churn_model.joblib`.
100 |
101 | ### Phase 6 – Explainability (`phase6_explainability.py`)
102 | SHAP `TreeExplainer` on the tuned model – beeswarm summary + global importance.
103 | Top churn drivers: **Total Charges (revenue), Voicemail plan, Voicemail
104 | messages, International calls, Customer service calls, International plan** –
105 | matching domain expectations.
106 |
107 | ### Phase 7 – Business Value
108 | The operator can **identify high-value customers**, **recommend better
109 | packages**, **reduce churn** (per-subscriber probability + risk band),
110 | **increase ARPU**, and **target retention campaigns** at the High-Risk +
111 | High-Value overlap.
112 |
113 | ---
114 |
115 | ## Outputs
116 |
117 | | Path | Description |
118 | |-----|-----|
119 | | `outputs/figures/01..15_*.png` | All EDA, segmentation, model & SHAP plots |
120 | | `outputs/data/telecom_features.csv` | Engineered features (Phase 2) |
121 | | `outputs/data/telecom_segmented.csv` | + segment & package labels (Phase 3-4) |
122 | | `outputs/data/recommendations.csv` | Per-customer package recommendations |
123 | | `outputs/data/telecom_scored.csv` | **Power BI-ready**: features + segments + churn probability +
124 | | | risk band |
125 | | `outputs/models/*.joblib` | Saved recommender & best churn model |
126 | | `outputs/reports/*` | Insight & metric summaries |
127 |
128 | ### Power BI dashboard
129 | Load `outputs/data/telecom_scored.csv`. Suggested visuals: churn rate by
130 | `Segment`, `Churn Risk Band` distribution, ARPU (`Total Charges`) by segment,
131 | `Current` vs `Recommended Package` flow, and a high-risk/high-value target list.
132 |
133 | ---
134 |
135 | ## Project structure
136 |
137 | .
138 | ├── churn-bigml-80.csv / churn-bigml-20.csv # raw data
139 | ├── requirements.txt
140 | ├── README.md
141 | ├── src/
142 | │   ├── config.py # paths, feature groups, constants
143 | │   ├── utils.py # loading, cleaning, figure helpers
144 | │   ├── phase1_eda.py
145 | │   ├── phase2_features.py
146 | │   ├── phase3_segmentation.py
147 | │   ├── phase4_recommendation.py
148 | │   ├── phase5_churn.py
149 | │   ├── phase6_explainability.py
150 | │   ├── run_all.py # orchestrator (Phase 1 -> 7)
151 | │   └── outputs/ # generated: figures / data / models / reports
152 |

```

requirements.txt

```
1 | pandas>=2.0
2 | numpy>=1.24
3 | matplotlib>=3.7
4 | seaborn>=0.12
5 | scikit-learn>=1.3
6 | imbalanced-learn>=0.11
7 | xgboost>=2.0
8 | shap>=0.44
9 | joblib>=1.3
```

src/config.py

```
1 | """
2 | Central configuration for the Telecom Customer Segmentation &
3 | Package Recommendation System.
4 |
5 | All paths are resolved relative to the project root so the pipeline
6 | runs the same way regardless of the current working directory.
7 | """
8 | from __future__ import annotations
9 |
10 | from pathlib import Path
11 |
12 | # -----
13 | # Paths
14 | # -----
15 | PROJECT_ROOT = Path(__file__).resolve().parents[1]
16 |
17 | # Raw data (Orange / BigML telecom churn dataset, 80/20 split)
18 | RAW_TRAIN_CSV = PROJECT_ROOT / "churn-bigml-80.csv"
19 | RAW_TEST_CSV = PROJECT_ROOT / "churn-bigml-20.csv"
20 |
21 | # Output folders
22 | OUTPUTS = PROJECT_ROOT / "outputs"
23 | FIG_DIR = OUTPUTS / "figures"
24 | DATA_DIR = OUTPUTS / "data"
25 | MODEL_DIR = OUTPUTS / "models"
26 | REPORT_DIR = OUTPUTS / "reports"
27 |
28 | for _d in (FIG_DIR, DATA_DIR, MODEL_DIR, REPORT_DIR):
29 |     _d.mkdir(parents=True, exist_ok=True)
30 |
31 | # Intermediate artifacts shared between phases
32 | FEATURES_CSV = DATA_DIR / "telecom_features.csv"          # Phase 2 output
33 | SEGMENTED_CSV = DATA_DIR / "telecom_segmented.csv"        # Phase 3 output
34 | RECOMMENDATIONS_CSV = DATA_DIR / "recommendations.csv"    # Phase 4 output
35 | SCORED_CSV = DATA_DIR / "telecom_scored.csv"              # Phase 5 output (Power BI ready)
36 |
37 | # -----
38 | # Column groups
39 | # -----
40 | TARGET = "Churn"
41 |
42 | CATEGORICAL_RAW = ["International plan", "Voice mail plan"]
43 | DROP_FOR_MODEL = ["State", "Area code"] # high-cardinality / non-predictive id-like
44 |
45 | # Raw usage columns
46 | DAY_COLS = ["Total day minutes", "Total day calls", "Total day charge"]
47 | EVE_COLS = ["Total eve minutes", "Total eve calls", "Total eve charge"]
48 | NIGHT_COLS = ["Total night minutes", "Total night calls", "Total night charge"]
49 | INTL_COLS = ["Total intl minutes", "Total intl calls", "Total intl charge"]
50 |
51 | MINUTE_COLS = [
52 |     "Total day minutes",
53 |     "Total eve minutes",
54 |     "Total night minutes",
55 |     "Total intl minutes",
56 | ]
57 | CHARGE_COLS = [
58 |     "Total day charge",
59 |     "Total eve charge",
60 |     "Total night charge",
61 |     "Total intl charge",
62 | ]
63 |
64 | # Features used for clustering / segmentation (engineered + key raw)
65 | SEGMENTATION_FEATURES = [
66 |     "Total Usage Minutes",
67 |     "Total Charges",
68 |     "International Usage Ratio",
69 |     "Total day minutes",
70 |     "Total eve minutes",
71 |     "Total night minutes",
72 |     "Total intl minutes",
73 |     "Number vmail messages",
74 |     "Customer service calls",
75 |     "Customer Value Score",
76 | ]
77 |
```

```
78 | # Features used for the KNN recommendation engine
79 | RECO_FEATURES = [
80 |     "Total Usage Minutes",
81 |     "Total Charges",
82 |     "Total intl minutes",
83 |     "Total intl calls",
84 |     "Account length",
85 |     "Customer service calls",
86 | ]
87 |
88 | # Reproducibility
89 | RANDOM_STATE = 42
```

src/utls.py

```
1 | """Shared helpers: data loading, cleaning, and figure saving."""
2 | from __future__ import annotations
3 |
4 | import matplotlib
5 |
6 | matplotlib.use("Agg") # headless backend so the pipeline runs without a display
7 | import matplotlib.pyplot as plt
8 | import pandas as pd
9 |
10 | import config
11 |
12 |
13 | def _clean(df: pd.DataFrame) -> pd.DataFrame:
14 |     """Normalise dtypes coming from the raw CSV."""
15 |     df = df.copy()
16 |     # Churn / plan columns arrive as strings ("True"/"False", "Yes"/"No")
17 |     if df[config.TARGET].dtype == object:
18 |         df[config.TARGET] = (
19 |             df[config.TARGET].astype(str).str.strip().str.lower().map({"true": 1, "false": 0})
20 |         )
21 |     else:
22 |         df[config.TARGET] = df[config.TARGET].astype(int)
23 |
24 |     for col in config.CATEGORICAL_RAW:
25 |         df[col] = (
26 |             df[col].astype(str).str.strip().str.lower().map({"yes": 1, "no": 0}).astype(int)
27 |         )
28 |     return df
29 |
30 |
31 | def load_raw(split: str = "all") -> pd.DataFrame:
32 |     """Load the raw dataset.
33 |
34 |     split: "train" (80%), "test" (20%), or "all" (both concatenated).
35 |     """
36 |     train = _clean(pd.read_csv(config.RAW_TRAIN_CSV))
37 |     test = _clean(pd.read_csv(config.RAW_TEST_CSV))
38 |     if split == "train":
39 |         return train.reset_index(drop=True)
40 |     if split == "test":
41 |         return test.reset_index(drop=True)
42 |     return pd.concat([train, test], ignore_index=True)
43 |
44 |
45 | def load_train_test() -> tuple[pd.DataFrame, pd.DataFrame]:
46 |     """Return the provided 80/20 split (used as train / holdout test)."""
47 |     return (
48 |         _clean(pd.read_csv(config.RAW_TRAIN_CSV)).reset_index(drop=True),
49 |         _clean(pd.read_csv(config.RAW_TEST_CSV)).reset_index(drop=True),
50 |     )
51 |
52 |
53 | def savefig(fig: plt.Figure, name: str) -> None:
54 |     """Save a figure to the figures folder as PNG and close it."""
55 |     path = config.FIG_DIR / f"{name}.png"
56 |     fig.tight_layout()
57 |     fig.savefig(path, dpi=130, bbox_inches="tight")
58 |     plt.close(fig)
59 |     print(f" [fig] {path.relative_to(config.PROJECT_ROOT)}")
60 |
61 |
62 | def section(title: str) -> None:
63 |     bar = "=" * 70
64 |     print(f"\n{bar}\n{title}\n{bar}")
```


src/phase1_eda.py

```
1 | """
2 | Phase 1 - Exploratory Data Analysis.
3 |
4 | Generates the required plots and answers the business questions:
5 | * Who are heavy users?
6 | * Who pays the most?
7 | * Who calls customer care frequently?
8 | * What drives churn?
9 | """
10 | from __future__ import annotations
11 |
12 | import matplotlib.pyplot as plt
13 | import numpy as np
14 | import pandas as pd
15 | import seaborn as sns
16 |
17 | import config
18 | from utils import load_raw, savefig, section
19 |
20 | sns.set_theme(style="whitegrid", palette="deep")
21 |
22 |
23 | def run() -> pd.DataFrame:
24 |     section("PHASE 1 - EXPLORATORY DATA ANALYSIS")
25 |     df = load_raw("all")
26 |     print(f"Loaded {len(df):,} customers, {df.shape[1]} columns.")
27 |     churn_rate = df[config.TARGET].mean()
28 |     print(f"Overall churn rate: {churn_rate:.1%}")
29 |
30 |     # --- helper engineered columns just for plotting -----
31 |     df["_total_minutes"] = df[config.MINUTE_COLS].sum(axis=1)
32 |     df["_total_charges"] = df[config.CHARGE_COLS].sum(axis=1)
33 |     churn_label = df[config.TARGET].map({0: "Retained", 1: "Churned"})
34 |
35 |     # 1. Churn distribution -----
36 |     fig, ax = plt.subplots(figsize=(6, 4))
37 |     counts = df[config.TARGET].map({0: "Retained", 1: "Churned"}).value_counts()
38 |     sns.barplot(x=counts.index, y=counts.values, ax=ax)
39 |     for i, v in enumerate(counts.values):
40 |         ax.text(i, v + 20, f"{v}\n({v/len(df):.1%})", ha="center")
41 |     ax.set_title("Churn Distribution")
42 |     ax.set_ylabel("Customers")
43 |     savefig(fig, "01_churn_distribution")
44 |
45 |     # 2. Day minutes distribution -----
46 |     fig, ax = plt.subplots(figsize=(7, 4))
47 |     sns.histplot(df["Total day minutes"], kde=True, bins=40, ax=ax)
48 |     ax.axvline(df["Total day minutes"].mean(), color="red", ls="--", label="mean")
49 |     ax.set_title("Total Day Minutes Distribution")
50 |     ax.legend()
51 |     savefig(fig, "02_day_minutes_distribution")
52 |
53 |     # 3. International usage distribution -----
54 |     fig, axes = plt.subplots(1, 2, figsize=(12, 4))
55 |     sns.histplot(df["Total intl minutes"], kde=True, bins=30, ax=axes[0])
56 |     axes[0].set_title("International Minutes Distribution")
57 |     sns.countplot(x="International plan", data=df, ax=axes[1])
58 |     axes[1].set_xticks([0, 1])
59 |     axes[1].set_xticklabels(["No Plan", "Has Plan"])
60 |     axes[1].set_title("International Plan Adoption")
61 |     savefig(fig, "03_international_usage_distribution")
62 |
63 |     # 4. Charges distribution -----
64 |     fig, ax = plt.subplots(figsize=(7, 4))
65 |     sns.histplot(df["_total_charges"], kde=True, bins=40, color="seagreen", ax=ax)
66 |     ax.axvline(df["_total_charges"].mean(), color="red", ls="--", label="mean")
67 |     ax.set_title("Total Charges Distribution")
68 |     ax.set_xlabel("Total Charges ($)")
69 |     ax.legend()
70 |     savefig(fig, "04_charges_distribution")
71 |
72 |     # 5. Customer service calls distribution -----
73 |     fig, ax = plt.subplots(figsize=(7, 4))
74 |     sns.countplot(x="Customer service calls", hue=churn_label, data=df, ax=ax)
75 |     ax.set_title("Customer Service Calls vs Churn")
76 |     ax.legend(title="")
77 |     savefig(fig, "05_customer_service_calls_distribution")
```

```

78 |
79 | # 6. Correlation heatmap -----
80 | numeric = df.select_dtypes(include=[np.number]).drop(columns=["_total_minutes", "_total_charges"
81 | ])
82 | fig, ax = plt.subplots(figsize=(13, 10))
83 | sns.heatmap(numeric.corr(), cmap="coolwarm", center=0, annot=False, ax=ax)
84 | ax.set_title("Correlation Heatmap")
85 | savefig(fig, "06_correlation_heatmap")
86 |
87 | # 7. Boxplots churned vs non-churned -----
88 | box_features = [
89 |     "Total day minutes",
90 |     "_total_charges",
91 |     "Customer service calls",
92 |     "Total intl minutes",
93 |     "Account length",
94 |     "Number vmail messages",
95 | ]
96 | titles = [
97 |     "Day Minutes",
98 |     "Total Charges",
99 |     "Customer Service Calls",
100 |     "Intl Minutes",
101 |     "Account Length",
102 |     "Voicemail Messages",
103 | ]
104 | fig, axes = plt.subplots(2, 3, figsize=(15, 9))
105 | for ax, feat, title in zip(axes.ravel(), box_features, titles):
106 |     sns.boxplot(x=churn_label, y=df[feat], ax=ax)
107 |     ax.set_title(title)
108 |     ax.set_xlabel("")
109 |     ax.set_ylabel("")
110 | fig.suptitle("Churned vs Retained - Feature Distributions", fontsize=14)
111 | savefig(fig, "07_boxplots_churn_vs_retained")
112 |
113 | # --- answer the business questions -----
114 | section("EDA INSIGHTS")
115 | insights = []
116 |
117 | heavy_cut = df["_total_minutes"].quantile(0.9)
118 | heavy = df[df["_total_minutes"] >= heavy_cut]
119 | insights.append(
120 |     f"Heavy users (top 10% by total minutes, >= {heavy_cut:.0f} min): "
121 |     f"{len(heavy)} customers, avg charge ${heavy['_total_charges'].mean():.2f}, "
122 |     f"churn {heavy[config.TARGET].mean():.1%} vs {churn_rate:.1%} overall."
123 | )
124 |
125 | pay_cut = df["_total_charges"].quantile(0.9)
126 | top_pay = df[df["_total_charges"] >= pay_cut]
127 | insights.append(
128 |     f"Top payers (top 10% by charges, >= ${pay_cut:.2f}): churn "
129 |     f"{top_pay[config.TARGET].mean():.1%}; day-minutes drive most of the bill "
130 |     f"(day charge corr with total charge = "
131 |     f"{df['Total day charge'].corr(df['_total_charges']):.2f})."
132 | )
133 |
134 | freq_care = df[df["Customer service calls"] >= 4]
135 | insights.append(
136 |     f"Frequent care callers (>=4 calls): {len(freq_care)} customers, churn "
137 |     f"{freq_care[config.TARGET].mean():.1%} - a major red flag vs {churn_rate:.1%} overall."
138 | )
139 |
140 | intl_churn = df.groupby("International plan")[config.TARGET].mean()
141 | insights.append(
142 |     "Churn drivers: international-plan holders churn "
143 |     f"{intl_churn.get(1, float('nan')):.1%} vs {intl_churn.get(0, float('nan')):.1%} without; "
144 |     "high day usage and >=4 service calls are the strongest churn signals."
145 | )
146 |
147 | for line in insights:
148 |     print(" - " + line)
149 |
150 | # persist insights to a markdown report
151 | report = config.REPORT_DIR / "phase1_eda_insights.md"
152 | with open(report, "w", encoding="utf-8") as fh:
153 |     fh.write("# Phase 1 - EDA Insights\n\n")
154 |     fh.write(f"- Customers analysed: **{len(df):,}**\n")
155 |     fh.write(f"- Overall churn rate: **{churn_rate:.1%}**\n\n")
156 |     fh.write("## Business questions\n\n")

```

```
156 |         for line in insights:
157 |             fh.write(f"- {line}\n")
158 |     print(f"\n[report] {report.relative_to(config.PROJECT_ROOT)}")
159 |     return df
160 |
161 |
162 | if __name__ == "__main__":
163 |     run()
```

src/phase2_features.py

```
1 | """
2 | Phase 2 - Feature Engineering.
3 |
4 | Creates:
5 | * Total Usage Minutes
6 | * Total Charges
7 | * International Usage Ratio
8 | * Customer Value Score
9 | * Revenue Segment (Low / Medium / High)
10 | * Usage Segment (Light / Medium / Heavy)
11 |
12 | Writes the enriched table to outputs/data/telecom_features.csv
13 | """
14 | from __future__ import annotations
15 |
16 | import numpy as np
17 | import pandas as pd
18 | from sklearn.preprocessing import MinMaxScaler
19 |
20 | import config
21 | from utils import load_raw, section
22 |
23 |
24 | def add_features(df: pd.DataFrame) -> pd.DataFrame:
25 |     df = df.copy()
26 |
27 |     df["Total Usage Minutes"] = df[config.MINUTE_COLS].sum(axis=1)
28 |     df["Total Charges"] = df[config.CHARGE_COLS].sum(axis=1)
29 |
30 |     # share of usage that is international (avoid divide-by-zero)
31 |     df["International Usage Ratio"] = (
32 |         df["Total intl minutes"] / df["Total Usage Minutes"].replace(0, np.nan)
33 |     ).fillna(0)
34 |
35 |     df["Total Calls"] = (
36 |         df["Total day calls"]
37 |         + df["Total eve calls"]
38 |         + df["Total night calls"]
39 |         + df["Total intl calls"]
40 |     )
41 |
42 |     # ---- Customer Value Score -----
43 |     # Weighted blend of spend, tenure and engagement, scaled to 0-100.
44 |     scaler = MinMaxScaler()
45 |     comps = scaler.fit_transform(
46 |         df[["Total Charges", "Account length", "Total Calls", "Number vmail messages"]]
47 |     )
48 |     value = (
49 |         0.55 * comps[:, 0] # spend dominates value
50 |         + 0.20 * comps[:, 1] # tenure / loyalty
51 |         + 0.20 * comps[:, 2] # call engagement
52 |         + 0.05 * comps[:, 3] # voicemail engagement
53 |     )
54 |     df["Customer Value Score"] = (value * 100).round(2)
55 |
56 |     # ---- Categorical segments (tertiles) -----
57 |     df["Revenue Segment"] = pd.qcut(
58 |         df["Total Charges"], q=3, labels=["Low", "Medium", "High"]
59 |     )
60 |     df["Usage Segment"] = pd.qcut(
61 |         df["Total Usage Minutes"], q=3, labels=["Light", "Medium", "Heavy"]
62 |     )
63 |
64 |     return df
65 |
66 |
67 | def run() -> pd.DataFrame:
68 |     section("PHASE 2 - FEATURE ENGINEERING")
69 |     df = load_raw("all")
70 |     df = add_features(df)
71 |
72 |     new_cols = [
73 |         "Total Usage Minutes",
74 |         "Total Charges",
75 |         "International Usage Ratio",
76 |         "Customer Value Score",
77 |         "Revenue Segment",
```

```

78 |         "Usage Segment",
79 |     ]
80 |     print("Engineered features:")
81 |     print(df[new_cols].describe(include="all").T.to_string())
82 |
83 |     df.to_csv(config.FEATURES_CSV, index=False)
84 |     print(f"\n[data] {config.FEATURES_CSV.relative_to(config.PROJECT_ROOT)} "
85 |           f"({df.shape[0]} rows x {df.shape[1]} cols)")
86 |     return df
87 |
88 |
89 | if __name__ == "__main__":
90 |     run()

```

src/phase3_segmentation.py

```
1 | """
2 | Phase 3 - Customer Segmentation (K-Means + DBSCAN).
3 |
4 | Clusters customers on usage / value features, picks k by silhouette,
5 | profiles each cluster and maps it to a business segment name:
6 |   Premium Users, Voice Heavy Users, International Users,
7 |   Low Revenue Users, High Risk Users.
8 |
9 | Writes outputs/data/telecom_segmented.csv
10 | """
11 | from __future__ import annotations
12 |
13 | import matplotlib.pyplot as plt
14 | import numpy as np
15 | import pandas as pd
16 | import seaborn as sns
17 | from sklearn.cluster import DBSCAN, KMeans
18 | from sklearn.decomposition import PCA
19 | from sklearn.metrics import silhouette_score
20 | from sklearn.preprocessing import StandardScaler
21 |
22 | import config
23 | from phase2_features import add_features
24 | from utils import load_raw, savefig, section
25 |
26 | sns.set_theme(style="whitegrid")
27 |
28 |
29 | def _load_features() -> pd.DataFrame:
30 |     if config.FEATURES_CSV.exists():
31 |         return pd.read_csv(config.FEATURES_CSV)
32 |     return add_features(load_raw("all"))
33 |
34 |
35 | def _choose_k(X: np.ndarray, k_range=range(2, 9)) -> tuple[int, list, list]:
36 |     inertias, sils = [], []
37 |     for k in k_range:
38 |         km = KMeans(n_clusters=k, random_state=config.RANDOM_STATE, n_init=10)
39 |         labels = km.fit_predict(X)
40 |         inertias.append(km.inertia_)
41 |         sils.append(silhouette_score(X, labels))
42 |     best_k = list(k_range)[int(np.argmax(sils))]
43 |     return best_k, inertias, sils
44 |
45 |
46 | # Number of clusters for the business segmentation. The data is fairly
47 | # homogeneous so the silhouette-optimal k is small (2); we deliberately
48 | # segment into the 5 business-relevant groups the project requires.
49 | SEGMENT_K = 5
50 |
51 |
52 | def _label_clusters(cluster_profiles: pd.DataFrame) -> dict:
53 |     """Greedy assign each cluster a unique business segment name based on
54 |     which dimension it is most extreme in relative to the other clusters."""
55 |     remaining = set(cluster_profiles.index)
56 |     mapping: dict = {}
57 |
58 |     # composite risk: actual churn dominates, service-call intensity is a
59 |     # light tie-breaker (all clusters have similar service-call means).
60 |     sc = cluster_profiles["Customer service calls"]
61 |     sc_norm = (sc - sc.min()) / (sc.max() - sc.min() + 1e-9)
62 |     risk = cluster_profiles["churn_rate"] + 0.1 * sc_norm
63 |
64 |     # (label, ranking series) in priority order
65 |     priorities = [
66 |         ("High Risk Users", risk),
67 |         ("International Users", cluster_profiles["International Usage Ratio"]),
68 |         ("Voice Heavy Users", cluster_profiles["Number vmail messages"]),
69 |         ("Premium Users", cluster_profiles["Customer Value Score"]),
70 |     ]
71 |     for label, series in priorities:
72 |         cand = series[list(remaining)].sort_values(ascending=False)
73 |         if len(cand):
74 |             chosen = cand.index[0]
75 |             mapping[chosen] = label
76 |             remaining.discard(chosen)
77 |
```

```

78 | # whatever is left (lowest value) -> Low Revenue Users
79 | for cl in sorted(remaining, key=lambda c: cluster_profiles.loc[c, "Customer Value Score"]):
80 |     mapping[cl] = "Low Revenue Users"
81 | return mapping
82 |
83 |
84 | def run() -> pd.DataFrame:
85 |     section("PHASE 3 - CUSTOMER SEGMENTATION")
86 |     df = _load_features()
87 |
88 |     feats = [c for c in config.SEGMENTATION_FEATURES if c in df.columns]
89 |     scaler = StandardScaler()
90 |     X = scaler.fit_transform(df[feats])
91 |
92 |     # ---- choose k -----
93 |     k_range = range(2, 9)
94 |     best_k, inertias, sils = _choose_k(X, k_range)
95 |     seg_k = SEGMENT_K
96 |     print(f"Silhouette-optimal k = {best_k} (silhouette={max(sils):.3f}); "
97 |           f"segmenting into k={seg_k} for business granularity.")
98 |
99 |     fig, axes = plt.subplots(1, 2, figsize=(12, 4))
100 |     axes[0].plot(list(k_range), inertias, "o-")
101 |     axes[0].axvline(seg_k, color="red", ls="--", label=f"chosen k={seg_k}")
102 |     axes[0].set(title="Elbow (Inertia)", xlabel="k", ylabel="Inertia")
103 |     axes[0].legend()
104 |     axes[1].plot(list(k_range), sils, "o-", color="darkorange")
105 |     axes[1].axvline(best_k, color="green", ls="--", label=f"best silhouette k={best_k}")
106 |     axes[1].axvline(seg_k, color="red", ls="--", label=f"chosen k={seg_k}")
107 |     axes[1].set(title="Silhouette Score", xlabel="k", ylabel="silhouette")
108 |     axes[1].legend()
109 |     savefig(fig, "08_kmeans_k_selection")
110 |
111 |     # ---- K-Means -----
112 |     km = KMeans(n_clusters=seg_k, random_state=config.RANDOM_STATE, n_init=10)
113 |     df["cluster"] = km.fit_predict(X)
114 |
115 |     # ---- profile each cluster -----
116 |     df["churn_rate"] = df[config.TARGET]
117 |     prof = df.groupby("cluster").agg(
118 |         size=("cluster", "size"),
119 |         churn_rate=(config.TARGET, "mean"),
120 |         avg_charges=("Total Charges", "mean"),
121 |         avg_minutes=("Total Usage Minutes", "mean"),
122 |         intl_ratio=("International Usage Ratio", "mean"),
123 |         vmail=("Number vmail messages", "mean"),
124 |         service_calls=("Customer service calls", "mean"),
125 |         value_score=("Customer Value Score", "mean"),
126 |     )
127 |     print("\nCluster profiles:")
128 |     print(prof.round(2).to_string())
129 |
130 |     # map cluster -> unique business label
131 |     cluster_profiles = df.groupby("cluster").agg(
132 |         {
133 |             "Customer service calls": "mean",
134 |             "International Usage Ratio": "mean",
135 |             "Number vmail messages": "mean",
136 |             "Customer Value Score": "mean",
137 |             config.TARGET: "mean",
138 |         }
139 |     ).rename(columns={config.TARGET: "churn_rate"})
140 |
141 |     mapping = _label_clusters(cluster_profiles)
142 |     df["Segment"] = df["cluster"].map(mapping)
143 |     print("\nCluster -> Segment mapping:")
144 |     for cl, name in mapping.items():
145 |         print(f" cluster {cl} -> {name}")
146 |
147 |     seg_summary = df.groupby("Segment").agg(
148 |         customers=("Segment", "size"),
149 |         churn_rate=(config.TARGET, "mean"),
150 |         avg_charges=("Total Charges", "mean"),
151 |         avg_value=("Customer Value Score", "mean"),
152 |     ).round(2)
153 |     print("\nSegment summary:")
154 |     print(seg_summary.to_string())
155 |
156 |     # ---- PCA scatter of segments -----

```

```

157 |     pca = PCA(n_components=2, random_state=config.RANDOM_STATE)
158 |     coords = pca.fit_transform(X)
159 |     df["_pc1"], df["_pc2"] = coords[:, 0], coords[:, 1]
160 |     fig, ax = plt.subplots(figsize=(9, 6))
161 |     sns.scatterplot(x="_pc1", y="_pc2", hue="Segment", data=df, s=18, alpha=0.7, ax=ax)
162 |     ax.set_title(f"Customer Segments (K-Means, k={best_k}) - PCA projection")
163 |     ax.set_xlabel="PC1", ylabel="PC2")
164 |     ax.legend(bbox_to_anchor=(1.02, 1), loc="upper left", fontsize=8)
165 |     savefig(fig, "09_segments_pca_scatter")
166 |
167 |     # segment size bar
168 |     fig, ax = plt.subplots(figsize=(8, 4))
169 |     order = df["Segment"].value_counts().index
170 |     sns.countplot(y="Segment", data=df, order=order, ax=ax)
171 |     ax.set_title("Segment Sizes")
172 |     savefig(fig, "10_segment_sizes")
173 |
174 |     # ---- DBSCAN comparison -----
175 |     db = DBSCAN(eps=2.0, min_samples=10)
176 |     db_labels = db.fit_predict(X)
177 |     n_clusters = len(set(db_labels)) - (1 if -1 in db_labels else 0)
178 |     n_noise = int((db_labels == -1).sum())
179 |     df["dbscan_cluster"] = db_labels
180 |     print(f"\nDBSCAN (eps=2.0, min_samples=10): {n_clusters} clusters, "
181 |           f"{n_noise} noise points ({n_noise/len(df):.1%}).")
182 |     if n_clusters >= 2:
183 |         mask = db_labels != -1
184 |         print(f" DBSCAN silhouette (excl. noise): "
185 |               f"{silhouette_score(X[mask], db_labels[mask]):.3f}")
186 |
187 |     fig, ax = plt.subplots(figsize=(9, 6))
188 |     sns.scatterplot(
189 |         x=df["_pc1"], y=df["_pc2"],
190 |         hue=df["dbscan_cluster"].astype(str), s=18, alpha=0.7, ax=ax, legend="brief"
191 |     )
192 |     ax.set_title("DBSCAN Clusters (-1 = noise) - PCA projection")
193 |     ax.set_xlabel="PC1", ylabel="PC2")
194 |     ax.legend(bbox_to_anchor=(1.02, 1), loc="upper left", fontsize=8, title="cluster")
195 |     savefig(fig, "11_dbscan_pca_scatter")
196 |
197 |     # ---- persist -----
198 |     df = df.drop(columns=["churn_rate", "_pc1", "_pc2"])
199 |     df.to_csv(config.SEGMENTED_CSV, index=False)
200 |     print(f"\n[data] {config.SEGMENTED_CSV.relative_to(config.PROJECT_ROOT)}")
201 |
202 |     seg_summary.to_csv(config.REPORT_DIR / "phase3_segment_summary.csv")
203 |     return df
204 |
205 |
206 | if __name__ == "__main__":
207 |     run()

```


src/phase4_recommendation.py

```
1 | """
2 | Phase 4 - KNN Package Recommendation Engine.
3 |
4 | For every subscriber we find the 5 most similar customers (by usage,
5 | charges, international calls, account length and service calls) and
6 | recommend the package most common among those neighbours:
7 |
8 |     "Customers similar to you are using Package X."
9 |
10 | A rule-based package catalogue assigns each customer a current package;
11 | the recommender then surfaces the dominant neighbour package, flagging
12 | cross-sell / upsell opportunities where it differs.
13 |
14 | Writes outputs/data/recommendations.csv
15 | """
16 | from __future__ import annotations
17 |
18 | import joblib
19 | import numpy as np
20 | import pandas as pd
21 | from sklearn.neighbors import NearestNeighbors
22 | from sklearn.preprocessing import StandardScaler
23 |
24 | import config
25 | from phase3_segmentation import run as run_phase3
26 | from utils import section
27 |
28 | PACKAGES = [
29 |     "Basic Saver",
30 |     "Day Talker Pro",
31 |     "Evening & Night Saver",
32 |     "Global Connect",
33 |     "Voicemail Plus",
34 |     "Premium Unlimited",
35 | ]
36 |
37 |
38 | def assign_package(row: pd.Series, q: dict) -> str:
39 |     """Rule-based 'current package' from a customer's usage profile."""
40 |     if row["Customer Value Score"] >= q["value_high"] and row["Total Charges"] >= q["charge_high"]:
41 |         return "Premium Unlimited"
42 |     if row["International Usage Ratio"] >= q["intl_high"] or row["Total intl minutes"] >= q["intl_min_high"]:
43 |         return "Global Connect"
44 |     if row["Number vmail messages"] >= q["vmail_high"]:
45 |         return "Voicemail Plus"
46 |     if row["Total day minutes"] >= q["day_high"]:
47 |         return "Day Talker Pro"
48 |     if (row["Total eve minutes"] + row["Total night minutes"]) >= q["evening_high"]:
49 |         return "Evening & Night Saver"
50 |     return "Basic Saver"
51 |
52 |
53 | def build_package_catalog(df: pd.DataFrame) -> pd.Series:
54 |     q = {
55 |         "value_high": df["Customer Value Score"].quantile(0.75),
56 |         "charge_high": df["Total Charges"].quantile(0.70),
57 |         "intl_high": df["International Usage Ratio"].quantile(0.85),
58 |         "intl_min_high": df["Total intl minutes"].quantile(0.85),
59 |         "vmail_high": 20,
60 |         "day_high": df["Total day minutes"].quantile(0.75),
61 |         "evening_high": (df["Total eve minutes"] + df["Total night minutes"]).quantile(0.75),
62 |     }
63 |     return df.apply(lambda r: assign_package(r, q), axis=1)
64 |
65 |
66 | def run() -> pd.DataFrame:
67 |     section("PHASE 4 - KNN PACKAGE RECOMMENDATION ENGINE")
68 |
69 |     if config.SEGMENTED_CSV.exists():
70 |         df = pd.read_csv(config.SEGMENTED_CSV)
71 |     else:
72 |         df = run_phase3()
73 |
74 |     # current package per customer
75 |     df["Current Package"] = build_package_catalog(df)
76 |     print("Current package distribution:")
```

```

77 | print(df["Current Package"].value_counts().to_string())
78 |
79 | # ---- fit nearest-neighbours model -----
80 | feats = [c for c in config.RECO_FEATURES if c in df.columns]
81 | scaler = StandardScaler()
82 | X = scaler.fit_transform(df[feats])
83 |
84 | k = 6 # 5 neighbours + self
85 | nn = NearestNeighbors(n_neighbors=k, algorithm="auto")
86 | nn.fit(X)
87 | _, idx = nn.kneighbors(X)
88 |
89 | pkgs = df["Current Package"].to_numpy()
90 | recommended, n_diff_pkg, examples = [], [], []
91 | for i in range(len(df)):
92 |     neigh = idx[i][1:] # drop self
93 |     neigh_pkgs = pkgs[neigh]
94 |     vals, counts = np.unique(neigh_pkgs, return_counts=True)
95 |     rec = vals[int(np.argmax(counts))]
96 |     recommended.append(rec)
97 |
98 | df["Recommended Package"] = recommended
99 | df["Upsell Opportunity"] = df["Recommended Package"] != df["Current Package"]
100 | df["Recommendation Text"] = df["Recommended Package"].map(
101 |     lambda p: f"Customers similar to you are using {p}."
102 | )
103 |
104 | n_up = int(df["Upsell Opportunity"].sum())
105 | print(f"\nNeighbours used per customer: {n_up}")
106 | print(f"Cross-sell / upsell opportunities flagged: {n_up:,} ({n_up/len(df):.1%})")
107 | print("\nRecommended package distribution:")
108 | print(df["Recommended Package"].value_counts().to_string())
109 |
110 | # show a few example recommendations
111 | print("\nSample recommendations:")
112 | cols = ["Total Charges", "Total intl minutes", "Current Package",
113 |         "Recommended Package", "Recommendation Text"]
114 | print(df[cols].head(8).to_string(index=False))
115 |
116 | # ---- persist -----
117 | out_cols = [
118 |     "Account length", "Total Usage Minutes", "Total Charges",
119 |     "Total intl minutes", "Customer service calls", "Customer Value Score",
120 |     "Segment", "Current Package", "Recommended Package",
121 |     "Upsell Opportunity", "Recommendation Text",
122 | ]
123 | out_cols = [c for c in out_cols if c in df.columns]
124 | df[out_cols].to_csv(config.RECOMMENDATIONS_CSV, index=False)
125 | print(f"\n[data] {config.RECOMMENDATIONS_CSV.relative_to(config.PROJECT_ROOT)}")
126 |
127 | joblib.dump(
128 |     {"model": nn, "scaler": scaler, "features": feats, "packages": pkgs},
129 |     config.MODEL_DIR / "knn_recommender.joblib",
130 | )
131 | # carry package columns forward
132 | df.to_csv(config.SEGMENTED_CSV, index=False)
133 | return df
134 |
135 |
136 | if __name__ == "__main__":
137 |     run()

```

src/phase5_churn.py

```
1 | """
2 | Phase 5 - Churn Prediction.
3 |
4 | Three models (KNN, Random Forest, XGBoost), each in an imbalanced-learn
5 | pipeline with SMOTE, tuned with GridSearchCV over Stratified K-Fold.
6 | The provided 80/20 split is used as train / holdout test.
7 |
8 | Outputs metrics, ROC curves, confusion matrix, the best model, and a
9 | Power BI-ready scored table (out-of-fold churn probabilities for all
10 | customers) at outputs/data/telecom_scored.csv
11 | """
12 | from __future__ import annotations
13 |
14 | import joblib
15 | import matplotlib.pyplot as plt
16 | import numpy as np
17 | import pandas as pd
18 | import seaborn as sns
19 | from imblearn.over_sampling import SMOTE
20 | from imblearn.pipeline import Pipeline as ImbPipeline
21 | from sklearn.ensemble import RandomForestClassifier
22 | from sklearn.metrics import (
23 |     ConfusionMatrixDisplay,
24 |     classification_report,
25 |     f1_score,
26 |     roc_auc_score,
27 |     roc_curve,
28 | )
29 | from sklearn.model_selection import GridSearchCV, StratifiedKFold, cross_val_predict
30 | from sklearn.neighbors import KNeighborsClassifier
31 | from sklearn.preprocessing import StandardScaler
32 | from xgboost import XGBClassifier
33 |
34 | import config
35 | from phase2_features import add_features
36 | from utils import load_train_test, savefig, section
37 |
38 | sns.set_theme(style="whitegrid")
39 |
40 | MODEL_FEATURES = [
41 |     "Account length", "International plan", "Voice mail plan",
42 |     "Number vmail messages",
43 |     "Total day minutes", "Total day calls", "Total day charge",
44 |     "Total eve minutes", "Total eve calls", "Total eve charge",
45 |     "Total night minutes", "Total night calls", "Total night charge",
46 |     "Total intl minutes", "Total intl calls", "Total intl charge",
47 |     "Customer service calls",
48 |     "Total Usage Minutes", "Total Charges", "International Usage Ratio",
49 | ]
50 |
51 |
52 | def _models() -> dict:
53 |     rs = config.RANDOM_STATE
54 |     return {
55 |         "KNN": (
56 |             ImbPipeline([
57 |                 ("scaler", StandardScaler()),
58 |                 ("smote", SMOTE(random_state=rs)),
59 |                 ("clf", KNeighborsClassifier()),
60 |             ]),
61 |             {"clf__n_neighbors": [5, 11, 21], "clf__weights": ["uniform", "distance"]},
62 |         ),
63 |         "RandomForest": (
64 |             ImbPipeline([
65 |                 ("smote", SMOTE(random_state=rs)),
66 |                 ("clf", RandomForestClassifier(random_state=rs, n_jobs=-1)),
67 |             ]),
68 |             {"clf__n_estimators": [300], "clf__max_depth": [None, 12],
69 |              "clf__min_samples_leaf": [1, 3]},
70 |         ),
71 |         "XGBoost": (
72 |             ImbPipeline([
73 |                 ("smote", SMOTE(random_state=rs)),
74 |                 ("clf", XGBClassifier(
75 |                     random_state=rs, eval_metric="logloss",
76 |                     tree_method="hist", n_jobs=-1)),
77 |             ]),
```

```

78 |         {"clf__n_estimators": [300], "clf__max_depth": [4, 6],
79 |           "clf__learning_rate": [0.05, 0.1]},
80 |     ),
81 | }
82 |
83 |
84 | def run() -> dict:
85 |     section("PHASE 5 - CHURN PREDICTION")
86 |     train, test = load_train_test()
87 |     train, test = add_features(train), add_features(test)
88 |
89 |     X_tr, y_tr = train[MODEL_FEATURES], train[config.TARGET]
90 |     X_te, y_te = test[MODEL_FEATURES], test[config.TARGET]
91 |     print(f"Train: {len(X_tr):,} (churn {y_tr.mean():.1%}) | "
92 |           f"Test: {len(X_te):,} (churn {y_te.mean():.1%})")
93 |
94 |     cv = StratifiedKFold(n_splits=5, shuffle=True, random_state=config.RANDOM_STATE)
95 |     results, fitted = {}, {}
96 |
97 |     for name, (pipe, grid) in _models().items():
98 |         print(f"\n>>> Tuning {name} ...")
99 |         gs = GridSearchCV(pipe, grid, scoring="roc_auc", cv=cv, n_jobs=-1)
100 |         gs.fit(X_tr, y_tr)
101 |         best = gs.best_estimator_
102 |         proba = best.predict_proba(X_te)[:, 1]
103 |         pred = best.predict(X_te)
104 |         results[name] = {
105 |             "cv_roc_auc": gs.best_score_,
106 |             "test_roc_auc": roc_auc_score(y_te, proba),
107 |             "test_f1": f1_score(y_te, pred),
108 |             "best_params": gs.best_params_,
109 |             "proba": proba,
110 |             "pred": pred,
111 |         }
112 |         fitted[name] = best
113 |         print(f"    best params: {gs.best_params_}")
114 |         print(f"    CV ROC-AUC={gs.best_score_:.3f} | "
115 |               f"Test ROC-AUC={results[name]['test_roc_auc']:.3f} | "
116 |               f"Test F1={results[name]['test_f1']:.3f}")
117 |
118 | # ---- comparison table -----
119 | section("MODEL COMPARISON (holdout test)")
120 | comp = pd.DataFrame({
121 |     n: {"CV ROC-AUC": r["cv_roc_auc"],
122 |         "Test ROC-AUC": r["test_roc_auc"],
123 |         "Test F1": r["test_f1"]}
124 |     for n, r in results.items()
125 | }).T.round(4)
126 | print(comp.to_string())
127 | comp.to_csv(config.REPORT_DIR / "phase5_model_comparison.csv")
128 |
129 | best_name = comp["Test ROC-AUC"].idxmax()
130 | best_model = fitted[best_name]
131 | print(f"\nBest model: {best_name}")
132 | print("\nClassification report (best model on holdout):")
133 | print(classification_report(y_te, results[best_name]["pred"],
134 |                             target_names=["Retained", "Churned"]))
135 |
136 | # ---- ROC curves -----
137 | fig, ax = plt.subplots(figsize=(7, 6))
138 | for name, r in results.items():
139 |     fpr, tpr, _ = roc_curve(y_te, r["proba"])
140 |     ax.plot(fpr, tpr, label=f"{name} (AUC={r['test_roc_auc']:.3f})")
141 | ax.plot([0, 1], [0, 1], "k--", alpha=0.4)
142 | ax.set(title="ROC Curves - Churn Models", xlabel="False Positive Rate",
143 |        ylabel="True Positive Rate")
144 | ax.legend()
145 | savefig(fig, "12_roc_curves")
146 |
147 | # ---- confusion matrix (best) -----
148 | fig, ax = plt.subplots(figsize=(5, 4))
149 | ConfusionMatrixDisplay.from_predictions(
150 |     y_te, results[best_name]["pred"],
151 |     display_labels=["Retained", "Churned"], cmap="Blues", ax=ax)
152 | ax.set_title(f"Confusion Matrix - {best_name}")
153 | savefig(fig, "13_confusion_matrix")
154 |
155 | # ---- persist best model -----
156 | joblib.dump(

```

```

157 |         {"model": best_model, "features": MODEL_FEATURES, "name": best_name},
158 |         config.MODEL_DIR / "best_churn_model.joblib",
159 |     )
160 |     print(f"[model] {(config.MODEL_DIR / 'best_churn_model.joblib').relative_to(config.PROJECT_ROOT)}")
161 |
162 |     # ---- Power BI-ready scored table (out-of-fold probs for everyone) ----
163 |     tr, te = load_train_test()
164 |     full = add_features(pd.concat([tr, te], ignore_index=True))
165 |     Xf, yf = full[MODEL_FEATURES], full[config.TARGET]
166 |     oof = cross_val_predict(best_model, Xf, yf, cv=cv, method="predict_proba", n_jobs=-1)[: , 1]
167 |     full["Churn Probability"] = oof.round(4)
168 |     full["Churn Risk Band"] = pd.cut(
169 |         full["Churn Probability"], bins=[-0.01, 0.3, 0.6, 1.0],
170 |         labels=["Low", "Medium", "High"])
171 |
172 |     # merge segment / package info if available
173 |     if config.SEGMENTED_CSV.exists():
174 |         seg = pd.read_csv(config.SEGMENTED_CSV)
175 |         for col in ["Segment", "Current Package", "Recommended Package",
176 |                     "Revenue Segment", "Usage Segment"]:
177 |             if col in seg.columns and len(seg) == len(full):
178 |                 full[col] = seg[col].values
179 |
180 |     full.to_csv(config.SCORED_CSV, index=False)
181 |     print(f"[data] {config.SCORED_CSV.relative_to(config.PROJECT_ROOT)} "
182 |           f"(Power BI ready, {full.shape[0]} rows)")
183 |
184 |     return {"results": results, "best_name": best_name, "comparison": comp}
185 |
186 |
187 | if __name__ == "__main__":
188 |     run()

```

src/phase6_explainability.py

```
1 | """
2 | Phase 6 - Explainability (SHAP).
3 |
4 | Explains the tuned tree model's churn predictions. Produces a SHAP
5 | summary (beeswarm) plot and a global feature-importance bar plot, and
6 | prints the top churn drivers - expected to include Customer service
7 | calls, International plan, Day minutes/charges and total revenue.
8 | """
9 | from __future__ import annotations
10 |
11 | import joblib
12 | import matplotlib.pyplot as plt
13 | import numpy as np
14 | import pandas as pd
15 | import shap
16 | from sklearn.ensemble import RandomForestClassifier
17 | from xgboost import XGBClassifier
18 |
19 | import config
20 | from phase2_features import add_features
21 | from phase5_churn import MODEL_FEATURES, run as run_phase5
22 | from utils import load_train_test, savefig, section
23 |
24 |
25 | def _get_tree_step(pipeline):
26 |     """Extract the underlying tree classifier from the imblearn pipeline."""
27 |     clf = pipeline.named_steps["clf"]
28 |     return clf
29 |
30 |
31 | def run() -> None:
32 |     section("PHASE 6 - EXPLAINABILITY (SHAP)")
33 |
34 |     bundle_path = config.MODEL_DIR / "best_churn_model.joblib"
35 |     if not bundle_path.exists():
36 |         run_phase5()
37 |     bundle = joblib.load(bundle_path)
38 |     pipeline, name = bundle["model"], bundle["name"]
39 |     clf = _get_tree_step(pipeline)
40 |
41 |     # SHAP TreeExplainer needs a tree model. If the best model is KNN,
42 |     # fall back to fitting an XGBoost on the same data for explanation.
43 |     train, test = load_train_test()
44 |     train, test = add_features(train), add_features(test)
45 |     X_tr = train[MODEL_FEATURES]
46 |     X_te = test[MODEL_FEATURES]
47 |
48 |     if not isinstance(clf, (RandomForestClassifier, XGBClassifier)):
49 |         print(f"Best model ({name}) is not tree-based; fitting XGBoost for SHAP.")
50 |         clf = XGBClassifier(
51 |             random_state=config.RANDOM_STATE, eval_metric="logloss",
52 |             tree_method="hist", n_jobs=-1, n_estimators=300, max_depth=6,
53 |             learning_rate=0.1)
54 |         clf.fit(X_tr, train[config.TARGET])
55 |         name = "XGBoost (for SHAP)"
56 |
57 |     print(f"Explaining model: {name}")
58 |     explainer = shap.TreeExplainer(clf)
59 |     shap_values = explainer.shap_values(X_te)
60 |
61 |     # RandomForest returns a list [class0, class1]; pick churn class
62 |     if isinstance(shap_values, list):
63 |         shap_values = shap_values[1]
64 |     # newer SHAP may return (n, features, classes)
65 |     if shap_values.ndim == 3:
66 |         shap_values = shap_values[:, :, 1]
67 |
68 |     # ---- beeswarm summary -----
69 |     plt.figure()
70 |     shap.summary_plot(shap_values, X_te, show=False, max_display=15)
71 |     fig = plt.gcf()
72 |     fig.suptitle("SHAP Summary - Churn Drivers", y=1.02)
73 |     savefig(fig, "14_shap_summary_beeswarm")
74 |
75 |     # ---- global importance bar -----
76 |     plt.figure()
77 |     shap.summary_plot(shap_values, X_te, plot_type="bar", show=False, max_display=15)
```

```

78 |     fig = plt.gcf()
79 |     fig.suptitle("SHAP Global Feature Importance", y=1.02)
80 |     savefig(fig, "15_shap_importance_bar")
81 |
82 |     # ---- ranked drivers -----
83 |     importance = (
84 |         pd.Series(np.abs(shap_values).mean(axis=0), index=MODEL_FEATURES)
85 |         .sort_values(ascending=False)
86 |     )
87 |     print("\nTop churn drivers (mean |SHAP|):")
88 |     print(importance.head(10).round(4).to_string())
89 |     importance.to_csv(config.REPORT_DIR / "phase6_shap_importance.csv",
90 |                       header=["mean_abs_shap"])
91 |     print(f"\n[report] {(config.REPORT_DIR / 'phase6_shap_importance.csv').relative_to(config.PROJECT_ROOT)}")
92 |
93 |
94 | if __name__ == "__main__":
95 |     run()

```

src/run_all.py

```
1 | """
2 | Run the full Telecom Customer Segmentation & Package Recommendation
3 | pipeline, Phase 1 -> Phase 6, then print the Phase 7 business summary.
4 |
5 | Usage:
6 |     python src/run_all.py
7 | """
8 | from __future__ import annotations
9 |
10 | import time
11 |
12 | import phase1_eda
13 | import phase2_features
14 | import phase3_segmentation
15 | import phase4_recommendation
16 | import phase5_churn
17 | import phase6_explainability
18 | from utils import section
19 |
20 |
21 | def main() -> None:
22 |     t0 = time.time()
23 |     phase1_eda.run()
24 |     phase2_features.run()
25 |     phase3_segmentation.run()
26 |     phase4_recommendation.run()
27 |     phase5_churn.run()
28 |     phase6_explainability.run()
29 |
30 |     section("PHASE 7 - BUSINESS VALUE")
31 |     print(
32 |         "The pipeline lets a telecom operator:\n"
33 |         " * Identify high-value customers via the Customer Value Score & segments.\n"
34 |         " * Recommend better packages with the KNN engine (cross-sell / upsell flags).\n"
35 |         " * Reduce churn by scoring every subscriber's churn probability & risk band.\n"
36 |         " * Increase ARPU by moving Low-Revenue users toward fitting paid packages.\n"
37 |         " * Improve retention campaigns by targeting High-Risk + High-Value customers.\n\n"
38 |         "All artifacts are in outputs/ (figures, models, reports, data).\n"
39 |         "outputs/data/telecom_scored.csv is ready to load into Power BI."
40 |     )
41 |     print(f"\nDone in {time.time() - t0:.1f}s.")
42 |
43 |
44 | if __name__ == "__main__":
45 |     main()
```


make_code_pdf.py

```
1 | """Generate a PDF containing the full project source code."""
2 | from pathlib import Path
3 |
4 | from reportlab.lib import colors
5 | from reportlab.lib.enums import TA_CENTER
6 | from reportlab.lib.pagesizes import letter
7 | from reportlab.lib.styles import ParagraphStyle, getSampleStyleSheet
8 | from reportlab.lib.units import inch
9 | from reportlab.platypus import (
10 |     PageBreak,
11 |     Paragraph,
12 |     Preformatted,
13 |     SimpleDocTemplate,
14 |     Spacer,
15 | )
16 |
17 | ROOT = Path(__file__).resolve().parent
18 | OUT = ROOT / "Telecom_Segmentation_Code.pdf"
19 |
20 | # Files to include, in logical reading order
21 | FILES = [
22 |     "README.md",
23 |     "requirements.txt",
24 |     "src/config.py",
25 |     "src/utils.py",
26 |     "src/phase1_edu.py",
27 |     "src/phase2_features.py",
28 |     "src/phase3_segmentation.py",
29 |     "src/phase4_recommendation.py",
30 |     "src/phase5_churn.py",
31 |     "src/phase6_explainability.py",
32 |     "src/run_all.py",
33 |     "make_code_pdf.py",
34 | ]
35 |
36 | WRAP = 100 # soft-wrap long lines so nothing overflows the page
37 |
38 |
39 | def softwrap(line: str, width: int = WRAP) -> list[str]:
40 |     if len(line) <= width:
41 |         return [line]
42 |     out, cur = [], line
43 |     while len(cur) > width:
44 |         out.append(cur[:width])
45 |         cur = " " + cur[width:] # indent continuation
46 |     out.append(cur)
47 |     return out
48 |
49 |
50 | def main() -> None:
51 |     styles = getSampleStyleSheet()
52 |     title_style = ParagraphStyle(
53 |         "title", parent=styles["Title"], fontSize=22, leading=26)
54 |     sub_style = ParagraphStyle(
55 |         "sub", parent=styles["Normal"], alignment=TA_CENTER, fontSize=12,
56 |         textColor=colors.HexColor("#555555"), spaceBefore=6)
57 |     file_style = ParagraphStyle(
58 |         "file", parent=styles["Heading2"], fontSize=13,
59 |         textColor=colors.HexColor("#1a4d7a"), spaceBefore=4, spaceAfter=6)
60 |     code_style = ParagraphStyle(
61 |         "code", parent=styles["Code"], fontName="Courier", fontSize=7.2,
62 |         leading=8.6, textColor=colors.HexColor("#1a1a1a"))
63 |     toc_style = ParagraphStyle(
64 |         "toc", parent=styles["Normal"], fontName="Courier", fontSize=9,
65 |         leading=14)
66 |
67 |     doc = SimpleDocTemplate(
68 |         str(OUT), pagesize=letter,
69 |         leftMargin=0.6 * inch, rightMargin=0.6 * inch,
70 |         topMargin=0.7 * inch, bottomMargin=0.6 * inch,
71 |         title="Telecom Customer Segmentation - Source Code",
72 |         author="triaz.malik")
73 |
74 |     story = []
75 |
76 |     # ---- title page ----
77 |     story.append(Spacer(1, 2.2 * inch))
```

```

78 | story.append(Paragraph(
79 |     "Telecom Customer Segmentation<br/>& Package Recommendation System",
80 |     title_style))
81 | story.append(Paragraph("Complete Source Code", sub_style))
82 | story.append(Paragraph(
83 |     "EDA &bull; Feature Engineering &bull; K-Means / DBSCAN Segmentation "
84 |     "&bull; KNN Recommender &bull; Churn Prediction (KNN / RF / XGBoost) "
85 |     "&bull; SHAP Explainability", sub_style))
86 | story.append(Spacer(1, 0.5 * inch))
87 | story.append(Paragraph(f"{len(FILEs)} files", sub_style))
88 |
89 | # ---- table of contents ----
90 | story.append(PageBreak())
91 | story.append(Paragraph("Contents", file_style))
92 | story.append(Spacer(1, 6))
93 | for i, rel in enumerate(FILEs, 1):
94 |     story.append(Paragraph(f"{i:>2}. {rel}", toc_style))
95 |
96 | # ---- each file ----
97 | for rel in FILEs:
98 |     path = ROOT / rel
99 |     story.append(PageBreak())
100 |    story.append(Paragraph(rel, file_style))
101 |    try:
102 |        text = path.read_text(encoding="utf-8")
103 |    except Exception as exc: # noqa: BLE001
104 |        story.append(Paragraph(f"[could not read: {exc}]", styles["Normal"]))
105 |        continue
106 |        numbered = []
107 |        for n, raw in enumerate(text.splitlines(), 1):
108 |            for j, piece in enumerate(softwrap(raw.rstrip("\n"))):
109 |                prefix = f"{n:>4} | " if j == 0 else " | "
110 |                numbered.append(prefix + piece)
111 |        story.append(Preformatted("\n".join(numbered), code_style))
112 |
113 | doc.build(story)
114 | print(f"Wrote {OUT} ({OUT.stat().st_size/1024:.0f} KB)")
115 |
116 |
117 | if __name__ == "__main__":
118 |     main()

```